

Apple Inc.**CONSOLIDATED STATEMENTS OF OPERATIONS**

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

	Years ended		
	September 30, 2023	September 24, 2022	September 25, 2021
Net sales:			
Products	\$ 298,085	\$ 316,199	\$ 297,392
Services	85,200	78,129	68,425
Total net sales	383,285	394,328	365,817
Cost of sales:			
Products	189,282	201,471	192,266
Services	24,855	22,075	20,715
Total cost of sales	214,137	223,546	212,981
Gross margin	169,148	170,782	152,836
Operating expenses:			
Research and development	29,915	26,251	21,914
Selling, general and administrative	24,932	25,094	21,973
Total operating expenses	54,847	51,345	43,887
Operating income	114,301	119,437	108,949
Other income/(expense), net	(565)	(334)	258
Income before provision for income taxes	113,736	119,103	109,207
Provision for income taxes	16,741	19,300	14,527
Net income	\$ 96,995	\$ 99,803	\$ 94,680
Earnings per share:			
Basic	\$ 6.16	\$ 6.15	\$ 5.67
Diluted	\$ 6.13	\$ 6.11	\$ 5.61
Shares used in computing earnings per share:			
Basic	15,744,231	16,215,963	16,701,272
Diluted	15,812,547	16,325,819	16,864,919

See accompanying Notes to Consolidated Financial Statements.